

Financial Crime: AML/KYC/Sanctions/Fraud — Hands-On

Hands-On Complete-Knowledge Deep-Dive (India, 2026)

Do-the-task drills: worked examples, entries, interview drills & free practice

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The AML Framework & Regulation: FATF, PMLA, RBI KYC Direction, 3 Lines of Defence

What you'll be able to do

Explain, from memory, how the global-to-India AML rulebook stacks up — FATF → PMLA → RBI Master Direction — and translate that into an operating model: who does KYC, who owns the risk, who files the STR, and who the regulator holds personally accountable. You'll be able to draw the compliance org chart, name the statutory roles (Principal Officer, Designated Director, MLRO), state the exact reporting timelines to FIU-IND, and answer "walk me through your AML framework" in an interview without reaching for notes. This is the map every AML/GCC compliance analyst is assumed to carry.

The essentials

The money-laundering cycle — three stages:

Stage	What happens	Typical India example
Placement	Dirty cash enters the financial system	Structured cash deposits below ₹50,000 to dodge PAN; buying pre-paid instruments
Layering	Transactions obscure the trail	Shell-company invoicing, round-tripping via Mauritius/Dubai, rapid fund movement across accounts
Integration	"Clean" money re-enters as legitimate wealth	Real-estate purchase, share buy-backs, loans to self

FATF — the Financial Action Task Force (Paris, inter-governmental). It sets **40 Recommendations** (the global AML/CFT/CPF standard, last major revision incorporating virtual assets and beneficial ownership). It does **not** regulate you directly; it evaluates countries via **Mutual Evaluations** and maintains the **grey list** (increased monitoring) and **black list** (Iran, DPRK, Myanmar as of 2026). India underwent its Mutual Evaluation and is a full FATF member; the 2024 assessment placed India in **regular follow-up** — the top-tier outcome. Key Recommendations to know: R.10 (CDD), R.12 (PEPs), R.16 (wire transfers / "travel rule"), R.20 (STR reporting), R.24/25 (beneficial ownership of legal persons/arrangements).

PMLA 2002 — the Prevention of Money Laundering Act is India's primary statute. Section 3 defines the offence; Section 4 sets punishment (rigorous imprisonment 3–7 years, up to 10 for scheduled offences). **Section 12** is the operative compliance obligation: every "reporting entity" (banks, NBFCs, brokers, insurers, payment operators, crypto/VDA providers) must **maintain records, verify identity, identify beneficial owners, and furnish information to FIU-IND**. The **Enforcement Directorate (ED)** investigates and attaches proceeds of crime; **FIU-IND** (Financial Intelligence Unit) receives reports.

Reports to FIU-IND (via the FINnet 2.0 gateway):

Report	Trigger	Timeline
CTR	Cash transactions > ₹10 lakh (or series integrally connected in a month)	15th of following month
STR	Suspicion of ML/TF — no threshold	Within 7 working days of establishing suspicion
CCR	Counterfeit currency	15th of following month
NTR	Non-profit org receipts > ₹10 lakh	15th of following month
CBWTR	Cross-border wire transfers > ₹5 lakh	15th of following month

RBI Master Direction – KYC (2016, as amended through 2025) operationalises PMLA for RBI-regulated entities. It mandates a Board-approved **KYC policy** with four pillars: Customer Acceptance Policy, Risk Management, Customer Identification Procedures (CIP), and ongoing **Transaction Monitoring**. It defines **OVDs** (Officially Valid Documents — passport, driving licence, Voter ID, Aadhaar, NREGA card), **V-CIP** (video-KYC), **CKYC** (Central KYC Registry — a 14-digit KYC identifier), and periodic re-KYC cadence (high risk every 2 years, medium 8, low 10).

Risk-Based Approach (RBA) — the spine of modern AML. You don't apply the same friction to everyone; you allocate scrutiny in proportion to risk across four vectors: **customer, product/service, geography, and delivery channel**. Low risk → Simplified Due Diligence; high risk → Enhanced Due Diligence.

Three Lines of Defence (3LoD):

Line	Who	Owns
1st	Business / front office / operations	Owns and manages the risk; does KYC at onboarding, first-level alert review
2nd	Compliance / AML function (MLRO)	Sets policy, independent oversight, files STRs, advises
3rd	Internal Audit	Independent assurance the first two work

External auditors and the regulator sit outside as a notional "4th line."

Roles: The **Principal Officer (PO)** is the PMLA-designated person responsible for filing reports to FIU-IND. The **Designated Director** is Board-level, personally liable under PMLA. Globally the equivalent title is **MLRO** (Money Laundering Reporting Officer) — the person to whom internal suspicion reports flow and who decides whether to file to the FIU. In a GCC you'll often see PO/MLRO combined.

Hands-on — step by step

Scenario: You're building the AML operating model for "Meridian Capital," a new India-based broker-dealer within a GCC.

1. **Register as a reporting entity** with FIU-IND on FINnet 2.0; obtain the entity's registration and set up user credentials for report submission.
2. **Draft the Board-approved KYC/AML policy** covering the four RBI pillars. Get the Board to formally **appoint a Designated Director and a Principal Officer** — record the resolution; these names are filed with FIU-IND.

3. **Map the RBA.** Build a customer-risk model (see Chapter 2), classify products (a margin trading account is higher risk than a cash equity account), tag geographies against FATF grey/black lists and India's own high-risk list.
4. **Wire the 3LoD.** Front office runs onboarding KYC in the system; a 2nd-line AML analyst independently reviews high-risk onboardings and all screening/TM alerts; Internal Audit schedules an annual AML review.
5. **Set the reporting workflow.** Any staff suspicion → internal Suspicious Activity Report → MLRO/PO reviews → decide file/no-file → if file, submit STR on FINnet within **7 working days**, and **do not tip off** the customer (Section 8 / general prohibition; tipping-off is an offence).
6. **Set cadence:** monthly CTR by the 15th; periodic re-KYC per risk band; annual policy refresh and staff training.

Worked timing example: A client deposits ₹4 lakh cash on 3 July, ₹4 lakh on 10 July, ₹3.5 lakh on 20 July into the same account. Individually each is below ₹10 lakh, but they are **integrally connected** and aggregate to ₹11.5 lakh in a calendar month → **CTR triggered**, file by **15 August**. The structuring pattern itself also raises suspicion → assess for **STR** independently.

The output

A one-page **AML Operating Model**:

```
BOARD — appoints — Designated Director (personally liable, PMLA)
|
└─ Principal Officer / MLRO — files STR/CTR → FIU-IND (FINnet 2.0)

LINE 1  Business & Ops      → onboarding KYC, L1 alert review
LINE 2  AML Compliance/MLRO → policy, screening, TM, STR decision
LINE 3  Internal Audit      → independent assurance

RBA lens: Customer × Product × Geography × Channel → Low/Med/High
Reports: CTR ₹10L (15th) | STR no-threshold (7 wd) | CCR | NTR | CBWTR ₹5L
```

Checks, gotchas & red flags

- **STR has NO monetary threshold** — a ₹5,000 transaction can trigger one. Candidates who say "STR above ₹10 lakh" fail instantly; that's the **CTR** threshold.
- **7 working days** for STR vs **15th of next month** for CTR — don't swap them.
- **Tipping-off** the customer that an STR was filed is itself an offence — never tell the client.
- FATF **grey list ≠ black list**: grey = increased monitoring (do EDD), black = countermeasures (India: Iran, DPRK, Myanmar).
- The **Designated Director is personally liable** — this is why AML is a Board matter, not a back-office chore.
- RBA is not an excuse to do *less* — it's proportionate; high-risk customers still need EDD, not a waiver.

Interview drill

Q1: Difference between a CTR and an STR? A CTR is objective and threshold-driven — any cash transaction over ₹10 lakh (or connected series in a month), filed by the 15th of the following month regardless of suspicion. An STR is subjective and threshold-free — filed within 7 working days of forming a suspicion of money laundering or terror financing, at any value. One is a bright-line rule; the other is judgement.

Q2: Explain the three lines of defence and who files the STR. First line is the business — they own the risk and do onboarding KYC and first-level alert review. Second line is AML Compliance, headed by the MLRO/Principal Officer, who sets policy and independently oversees. Third line is Internal Audit, providing assurance. The STR is filed by the Principal Officer/MLRO in the second line — the business flags internally, but only the PO decides and files to FIU-IND.

Q3: What is the risk-based approach and why does FATF mandate it? RBA means allocating AML resources in proportion to assessed risk across customer, product, geography, and channel — Simplified DD for low risk, EDD for high risk. FATF mandates it (R.1) because uniform controls waste resources on low-risk clients while under-scrutinising genuine threats; risk-weighting concentrates scrutiny where laundering is actually likely.

Learn/practise (free)

- **FATF** website — read the 40 Recommendations and India's 2024 Mutual Evaluation Report (free PDFs).
- **FIU-IND** site — the FINnet 2.0 user guides, STR/CTR formats and XML schemas are public; download and read a blank STR to see the actual fields.
- **RBI Master Direction on KYC** — read it end-to-end once; it's the single most-quoted document in Indian AML interviews.
- **PMLA bare act** — Sections 3, 4, 12, and the definition of "reporting entity."
- Free training: ACAMS "Today" articles, the Egmont Group typology papers, and the ICAI/IIBF AML modules. Rehearse by writing the operating-model diagram above from a blank page until it's automatic.

KYC / CDD / EDD Hands-On

What you'll be able to do

Onboard a customer end-to-end: verify identity against Officially Valid Documents, unwind an ownership structure to find the true **beneficial owner (UBO)**, run a **customer risk-rating model** that produces a numeric score and a Low/Medium/High band, know exactly when **Enhanced Due Diligence (EDD)** kicks in, document **source of funds/wealth**, and schedule the next periodic review. You'll carry a worked scoring spreadsheet you can rebuild in Excel in five minutes — the single most useful artefact an AML analyst brings to an interview.

The essentials

KYC vs CDD vs EDD:

Term	What it is
KYC	The whole "Know Your Customer" programme — identify + verify + risk-rate + monitor
CDD	Customer Due Diligence — the standard baseline: identify the customer & UBO, understand purpose/nature, monitor
SDD	Simplified DD — reduced measures for demonstrably low-risk customers (e.g., a salaried resident with a small savings account)
EDD	Enhanced DD — extra scrutiny for high-risk: SoW/SoF evidence, senior sign-off, closer monitoring

CIP (Customer Identification Procedure) for an individual in India: name, address, PAN (mandatory for most financial relationships), and an **OVD** — Aadhaar, passport, driving licence, Voter ID, or NREGA card. **V-CIP** (video KYC) is RBI-permitted for remote onboarding. Records go to the **CKYC Registry** (14-digit KYC Identifier).

Beneficial Owner (UBO) — the natural person who ultimately owns or controls the customer. RBI/PMLA thresholds:

Entity type	UBO threshold (ownership/control)
Company	> 10% shares or controlling interest
Partnership / LLP	> 10% of capital or profits
Trust	Author, trustee, beneficiaries with ≥10% interest, and any controlling person

You must **look through** layers. If Client Ltd is 60% owned by Holdco, and Holdco is 80% owned by Mr X, then Mr X's effective stake = $60\% \times 80\% = 48\% > 10\% \rightarrow$ **Mr X is a UBO**.

EDD triggers: PEP (Politically Exposed Person) or their family/close associate; customer from a FATF grey/black-list or high-risk jurisdiction; complex/opaque ownership; correspondent banking; high-risk products (private banking, bearer instruments, crypto); adverse media; non-face-to-face onboarding without adequate controls; unusually large or unexplained wealth.

Source of Funds (SoF) = origin of the specific money in this transaction (salary credit, sale of property, loan).

Source of Wealth (SoW) = origin of the customer's total net worth (inherited business, decades of professional income). EDD needs both, with evidence (bank statements, sale deed, tax returns, audited accounts).

Periodic review cadence (RBI): High every **2 years**, Medium **8**, Low **10** — or sooner on a trigger event (adverse media, transaction anomaly, PEP status change).

Hands-on — step by step

Case: Onboarding **Sunrise Trading Pvt Ltd** for a broking account.

Step 1 — Identify the entity. Collect Certificate of Incorporation, PAN, GST registration, board resolution authorising account opening, and list of directors/authorised signatories. Verify PAN on the income-tax portal and CIN on the MCA21 master data.

Step 2 — Unwind ownership for UBO. Shareholding: Mr Rao 55%, Meridian Holdings LLP 45%. Meridian LLP profit-share: Mr Rao 30%, Ms Iyer 70%. - Mr Rao effective = $55\% + (45\% \times 30\%) = 55\% + 13.5\% = 68.5\% \rightarrow \text{UBO}$. - Ms Iyer effective = $45\% \times 70\% = 31.5\% > 10\% \rightarrow \text{UBO}$. Record both UBOs, verify each with PAN + OVD, and screen both names (Chapter 3).

Step 3 — Screen. Run entity + both UBOs + directors through sanctions/PEP/adverse-media lists. Assume Ms Iyer returns a **PEP** hit — she's on a state-level statutory board. $\rightarrow$ **EDD triggered**.

Step 4 — Risk-rate. Build the scoring model. Each factor scored 1 (low) / 2 (med) / 3 (high), multiplied by a weight; sum = weighted score.

Factor	Weight	Assessment	Raw (1-3)	Weighted
Customer type	25%	Pvt Ltd, has a PEP UBO	3	0.75
Geography	20%	India (domestic), no high-risk link	1	0.20
Product/service	20%	Margin trading account	2	0.40
Channel	15%	Non-face-to-face (V-CIP)	2	0.30
Occupation/business	20%	Commodity trading (cash-intensive)	2	0.40
Total	100%			2.05

Banding: 1.00–1.66 = Low, 1.67–2.33 = Medium, 2.34–3.00 = High. Score **2.05** $\rightarrow$ **Medium** by model — **but the PEP UBO is an automatic override to High**. Overrides always beat the arithmetic.

Step 5 — Apply EDD (because High / PEP): obtain **senior management approval** to onboard; document **SoW** (Ms Iyer's wealth from a family textile business — obtain audited accounts + IT returns) and **SoF** (₹50 lakh initial funding traced to Sunrise's audited turnover); set **enhanced transaction monitoring** thresholds; schedule review in **2 years**.

Step 6 — Record & register. File CKYC records, store the UBO declaration, the risk score sheet, EDD approvals, and SoW/SoF evidence in the customer file.

The output

Customer Risk Assessment — Sunrise Trading Pvt Ltd

Entity PAN/CIN: verified (MCA21, IT portal)
UBOs: Mr Rao 68.5% (verified, no hits)
 Ms Iyer 31.5% (verified, PEP – state board)
Screening: 1 PEP hit confirmed; no sanctions/adverse media
Model score: 2.05 → model band MEDIUM
Override: PEP UBO → FINAL RATING: HIGH
EDD: Senior approval [signed], SoW [audited a/cs], SoF [turnover trace]
Enhanced TM: ON | Next review: 2 years (Jul 2028)
Decision: ACCEPT with EDD

Checks, gotchas & red flags

- **Effective ownership, not direct** — multiply through the chain. Missing an indirect UBO is the classic UBO failure.
- **Overrides beat scores** — a PEP, a sanctions near-match, or a high-risk-country nexus forces High regardless of the weighted number.
- **SoF ≠ SoW**. Confusing them is a frequent interview slip: funds = this money; wealth = overall net worth.
- Don't treat **V-CIP / non-face-to-face** as automatically fine — it's a higher-risk *channel* and scores accordingly.
- **PEP status doesn't mean criminal** — it means higher risk, so EDD, not refusal (unless policy says decline).
- The UBO **10% threshold** is control *or* ownership — someone with 5% shares but a controlling agreement is still a UBO.
- Periodic review is **risk-driven** (2/8/10 yrs) but any trigger event resets it immediately.

Interview drill

Q1: Walk me through identifying the UBO of a company owned by other companies. Start with the immediate shareholder register, then look through each corporate shareholder to the natural persons behind it, multiplying stakes down each chain. Anyone whose *effective* ownership exceeds 10%, or who exercises control by other means (voting agreements, board control), is a UBO. If no natural person meets the threshold, you fall back to the senior managing official. You verify each identified UBO with PAN and an OVD and screen them.

Q2: When does CDD become EDD, and what extra do you actually do? EDD triggers on PEPs and their associates, high-risk jurisdictions, opaque structures, high-risk products, adverse media, or unexplained wealth. The extra measures are: senior management sign-off to onboard/continue, documented and evidenced Source of Wealth and Source of Funds, more frequent review (typically 2-yearly), and tighter transaction-monitoring thresholds.

Q3: Your model scores a client Medium but they're a PEP. Final rating? High. A qualitative override — PEP status, a sanctions nexus, or a high-risk-country link — supersedes the arithmetic score. The model is a

floor for scrutiny, not a ceiling; you always take the more conservative outcome and apply EDD.

Learn/practise (free)

- Rebuild the weighted risk model above in **Excel or Google Sheets** — factors, weights, 1-3 scale, SUMPRODUCT, and IF-based banding with a PEP override flag. This is the single best portfolio piece.
- **RBI Master Direction on KYC** — the UBO thresholds, OVD list, and V-CIP rules are all there verbatim.
- **CKYC Registry** and **Wolfsberg Group** CDD/private-banking papers (free) for the global standard.
- Practise UBO look-through with public **MCA21** filings — pick any listed subsidiary and trace it up.
- Free courses: IIBF AML-KYC module, ACAMS free resources, and FATF guidance on PEPs (R.12) and beneficial ownership (R.24/25).

Sanctions & Name Screening

What you'll be able to do

Screen a name against sanctions, PEP and adverse-media lists; understand which lists bind an Indian entity and which bind a global GCC; read a **fuzzy-match** score and decide **true hit vs false positive**; write a clean **alert disposition** with a documented rationale; and know the **escalation path** when a real match surfaces. You'll work a live screening hit end-to-end — the exact task a Level-1 screening analyst does hundreds of times a day.

The essentials

The lists that matter:

List	Owner	Binds whom
OFAC SDN	US Treasury	Anyone touching USD/US persons/US nexus — de facto global
UN Consolidated	UN Security Council	All member states, incl. India (binding under UNSC resolutions)
EU Consolidated	European Union	EU nexus
UK OFSI	UK Treasury	UK nexus
MHA / UAPA lists	India Ministry of Home Affairs	India — designated terrorist individuals/orgs under UAPA
MEA / UNSC 1267	India via UN 1267 Committee	India — Al-Qaida/ISIL/Taliban regime

An India-based GCC serving US/EU clients must screen against **all** of these, not just Indian lists — because the *client's* jurisdiction reaches into your process (extraterritoriality, esp. OFAC).

PEP screening — flags Politically Exposed Persons (heads of state, ministers, senior judiciary/military, SOE executives, senior party officials) plus **family members and close associates (RCAs)**. PEP ≠ sanctioned; it's a risk flag driving EDD (Chapter 2).

Adverse media (negative news) — screening open-source/news for links to fraud, corruption, terrorism, trafficking. Automated tools categorise by crime type and recency.

Screening tools (paid):

Tool	Strength
Refinitiv World-Check One	The market-standard sanctions/PEP/adverse-media database; deep, well-curated records
Dow Jones Risk & Compliance	Strong PEP and adverse-media coverage, state-ownership data
FircoSoft (Accuity/LexisNexis)	Real-time payment/transaction filtering engine — screens SWIFT messages inline; strong fuzzy-matching
Bridger / LexisNexis, ComplyAdvantage	Real-time API screening, ComplyAdvantage strong on live data

Fuzzy matching — because names are transliterated, misspelled and reordered, screening can't be exact-match only. Engines use algorithms: **Levenshtein/edit distance**, **Jaro-Winkler**, **Soundex/Metaphone** (phonetic), plus token/n-gram scoring and secondary-identifier matching (DOB, nationality, passport). Each candidate gets a **match score (0–100%)**; a configurable **threshold** (say 85%) decides whether an alert generates. Lower threshold = more alerts = more false positives = fewer missed true hits (fewer false negatives). Tuning this trade-off is the whole game.

Hands-on — step by step

Scenario: You onboard "**Mohammed Ali Rahman**", DOB 1979, nationality UAE, for a corporate account. Screening fires an alert.

Step 1 — Read the alert. The engine matched the customer to an OFAC SDN entry:

```
Customer:  Mohammed Ali Rahman | DOB 12-03-1979 | UAE
SDN hit:   Muhammad Ali RAHMAN  | DOB 1979      | UAE | SDGT program
Match score: 92% | Matched on: name (fuzzy) + YOB + nationality
```

Step 2 — Compare identifiers (the "4-eyes" discipline). Don't stop at the name. Check every available secondary identifier: - Name: "Mohammed" vs "Muhammad", "Ali" vs "Ali", "Rahman" vs "RAHMAN" — a classic transliteration variant; phonetically identical. **Not discriminating.** - **DOB:** customer 12-March-1979; SDN "1979" (year only) — **consistent, not contradictory.** - **Nationality:** UAE = UAE — **consistent.** - Passport/ID number: customer has passport ending 4471; SDN record lists a passport ending 4471 → **strong corroboration.**

Step 3 — Decide. Name variant + matching DOB year + matching nationality + **matching passport number** = this is **not** a coincidental namesake. **True positive.**

Step 4 — Act (do NOT onboard / freeze). For a genuine sanctions match: - **Do not proceed** with the account or transaction; **freeze/hold** any funds. - **Escalate immediately** to the MLRO/sanctions officer — sanctions hits bypass normal L1 disposition. - File the required report: in India, report to **FIU-IND** and comply with **UAPA/MHA freezing** obligations; for OFAC nexus, a **blocking report** to OFAC. - **Do not tip off** the customer about the sanctions match/report.

Contrast — a false positive. Same customer, but the SDN record shows DOB 1955, nationality Yemen, different passport. Name matches 92% but **DOB, nationality and passport all contradict** → **false positive.** Disposition: "Name-only fuzzy match; DOB (1979 vs 1955), nationality (UAE vs Yemen) and passport all

mismatch. Coincidental namesake. Cleared." Record rationale, close alert, whitelist the pair to suppress future re-alerts on the same entity.

The output

Screening Alert Disposition

```
Alert ID: SCR-2026-04412
Customer: Mohammed Ali Rahman | UAE | DOB 12-Mar-1979 | Passport ...4471
List hit: OFAC SDN - Muhammad Ali RAHMAN | SDGT | passport ...4471
Score: 92% (name fuzzy + YOB + nationality + passport)

Secondary-ID review:
  Name           MATCH (transliteration variant)
  DOB (year)     MATCH (1979)
  Nationality    MATCH (UAE)
  Passport       MATCH (...4471) ← decisive

DISPOSITION: TRUE POSITIVE - confirmed sanctions match
ACTION: Account NOT opened; funds blocked; escalated to MLRO;
        blocking/STR filed; customer NOT tipped off.
Analyst: [id] Reviewer (4-eyes): [id] Date: 15-Jul-2026
```

Checks, gotchas & red flags

- **Never clear on name alone** — always work the secondary identifiers (DOB, nationality, passport, place).
- **Passport/ID match is decisive** — a matching document number turns a "maybe" into a true positive fast.
- A **year-only DOB** on the list that's consistent with your customer is **not** exculpatory — absence of contradiction ≠ evidence of difference.
- **Sanctions hits escalate immediately** and freeze — they do not sit in a routine L1 queue like a PEP alert.
- **Do not tip off** — freezing/reporting is confidential.
- Threshold tuning is a governed change: lowering it floods false positives, raising it risks **false negatives** (missed true hits) — the dangerous error. Document any change.
- **Whitelisting** must be per specific customer-vs-record pair, time-stamped and reviewed — never a blanket name suppression.
- OFAC's **50% Rule**: an entity ≥50% owned by SDN parties is itself blocked even if not separately listed — screen ownership, not just the named entity.

Interview drill

Q1: You get a 95% name match to an SDN entry. Is it a hit? Not yet — 95% is only the name-similarity score. I compare secondary identifiers: date of birth, nationality, place of birth, and any passport/ID number. If those corroborate (especially a matching passport number), it's a true positive — I stop the transaction,

freeze, and escalate to the MLRO. If DOB and nationality clearly contradict, it's a coincidental namesake and I clear it with a documented rationale.

Q2: Which is worse in screening — a false positive or a false negative, and how does threshold setting relate? A false negative — a genuine sanctioned party passing through — is far worse; it's a direct sanctions breach with legal and reputational consequences. False positives are costly in analyst time but safe. Lowering the match threshold reduces false negatives at the cost of more false positives; raising it does the reverse. You tune to keep false negatives near zero while managing false-positive volume, and you document the trade-off.

Q3: An India-based team screens a US client's payment. Which lists apply? All relevant ones: UN and India's MHA/UAPA and UNSC-1267 lists bind us domestically, and because there's a US and USD nexus, OFAC SDN applies extraterritorially; EU/UK lists apply if there's an EU/UK leg. Sanctions screening follows the transaction's jurisdictional touchpoints, not just the screening team's home country.

Learn/practise (free)

- **OFAC Sanctions List Search** (free web tool) — screen real names against the live SDN list and see the record fields.
- **UN Consolidated List, EU Consolidated List, UK OFSI list**, and India's **MHA UAPA** designated lists — all free downloads; practise manual matching.
- Refinitiv/Dow Jones publish free methodology papers on fuzzy matching and PEP definitions.
- Build a mini screening engine in **Python** (`fuzzywuzzy` / `rapidfuzz` , `jellyfish` for Jaro-Winkler/Soundex) to score a customer list against the OFAC CSV — the best way to *feel* how thresholds behave.
- **Wolfsberg Group** guidance on sanctions screening and the ACAMS sanctions primers (free).

Transaction Monitoring & Tooling (Actimize, SAS, Oracle FCCM, Quantexa, Napier)

What you'll be able to do

Explain how a transaction-monitoring (TM) system turns raw transactions into investigable alerts; name the standard **typologies/scenarios** and the **rules and thresholds** that detect them; know what each major tool is good at; **triage and score an alert**; understand **tuning** and the false-positive problem; and use **network/entity analytics** to see risk a single-account rule misses. You'll work a real alert-triage example to a documented decision — the daily job of a TM investigator.

The essentials

What TM does: ingests transactions (deposits, wires, trades, card activity), runs them against **scenarios** (rules encoding known laundering behaviour), and generates **alerts** when thresholds trip. An analyst triages each alert → close as false positive, or escalate to a **case** → potentially an **STR**.

Core typologies & the rule that catches them:

Typology	Rule logic (illustrative)
Structuring / smurfing	Multiple cash deposits just under ₹10 lakh / ₹50,000 PAN limit within N days
Rapid movement of funds	Credit followed by near-total debit within 24–48h ("pass-through"/flow-through)
Round-tripping	Funds out and back via related parties/jurisdictions
High-risk geography	Wires to/from FATF grey/black-list countries
Unusual for profile	Activity >> expected turnover declared at KYC (deviation from peer/self baseline)
Dormant-then-active	Long-inactive account suddenly high-volume
Mule activity	Many inbound credits from unrelated parties, quick cash-out
Trade-based ML	Over/under-invoicing, mismatched shipment values

Rules vs thresholds vs scenarios: a **scenario** is the pattern (e.g., "rapid movement"); the **rule** is the codified logic; the **threshold** is the tunable number (amount, count, days, %). Thresholds are calibrated by segment — a corporate treasury and a retail savings account can't share the same limit.

The tools:

Tool	Best at
NICE Actimize	Market-leading, broad AML suite (SAM for TM, WLF for screening, actone case mgmt); strong out-of-the-box scenarios, widely used in banks/GCCs
SAS AML	Powerful analytics/statistics, strong scenario tuning and ML-based detection; good where data-science depth matters
Oracle FCCM (Mantas)	Enterprise-scale, deeply configurable behaviour-detection scenarios; heavy but very common in large banks
Quantexa	Entity resolution + network analytics — connects data into a graph to reveal hidden relationships; contextual, low-false-positive, "big-picture" risk
Napier	Modern, cloud-native, AI-driven; fast deployment, strong for fintechs/mid-tier; configurable rules + ML

Actimize/Oracle/SAS = the incumbents (rule-heavy). Quantexa/Napier = the new wave (network + ML, aiming at the false-positive problem).

The false-positive problem: rules-based TM typically produces **90–98% false positives** — most alerts are legitimate activity. This drives huge analyst cost, so **tuning** (adjusting thresholds via Above/Below-the-Line testing) and **ML risk-scoring** (ranking alerts by probability of being genuine) are central. **Network analytics** cuts false positives by adding context — a lone "large wire" alert looks different once you see the counterparty is a known mule cluster.

Hands-on — step by step

Alert: Account of "**Kiran Textiles**" (KYC: declared annual turnover ₹2 crore, retail garment trader). TM scenario "**High-velocity pass-through**" fires.

Step 1 — Read the alert.

Scenario: Rapid movement of funds (pass-through)
 Trigger: Inbound ₹18,50,000 (5 credits) then ₹18,20,000 debited within 36h
 Period: 1–3 July 2026 | Alert score: 78/100

Step 2 — Gather context (the triage checklist): - **KYC/profile:** declared turnover ₹2 cr/yr ⇒ ~₹16.6 lakh/month expected. This is ₹18.5 lakh in **3 days** — a large deviation. - **Counterparties:** 5 inbound credits from *individuals* (not trade debtors); outbound single wire to a **new payee** in a different state. - **History:** account previously ran ₹3–5 lakh/month steady; this is a spike. - **Cash vs transfer:** all electronic (rules out simple structuring but fits **mule/pass-through**).

Step 3 — Score & hypothesise. Deviation from profile + inbound from unrelated individuals + near-total same-week sweep to a new payee = classic **flow-through / possible mule** pattern. Alert score 78 plus contextual red flags → **escalate to case**, do not auto-close.

Step 4 — Investigate the network. Pull the entity graph: the new outbound payee also receives from **three other flagged accounts** → a **fan-in/fan-out mule ring**. Network analytics converts a single ambiguous alert into a strong typology.

Step 5 — Request info / decide. Raise an RFI to the business for supporting invoices for the ₹18.5 lakh. Inadequate/absent commercial rationale + ring linkage → **file STR** within 7 working days (Chapter 1), continue enhanced monitoring, and consider exit per policy. **Do not tip off.**

Step 6 — Feed back to tuning. Log the disposition. Confirmed-suspicious outcomes validate the scenario; if this segment throws many *false* positives, propose a threshold review (e.g., raise velocity floor for genuine wholesale traders) through governed **ATL/BTL testing** — never ad-hoc.

The output

TM Case Summary — Kiran Textiles

Alert: SAM-2026-77120 | Scenario: Rapid movement / pass-through | Score 78
Profile: garment trader, declared ₹2cr/yr (~₹16.6L/mo)
Observed: ₹18.5L in over 3 days (5 unrelated individuals) → ₹18.2L swept
to new out-of-state payee in 36h
Red flags: profile deviation; unrelated inbound; new payee; near-total sweep
Network: outbound payee linked to 3 other flagged accounts → mule ring
RFI: invoices requested – none provided
DECISION: Escalate → STR filed (7 wd) → enhanced monitoring → exit review
Tuning note: scenario validated; no threshold change for this segment
Investigator: [id] | QA: [id] | 15-Jul-2026

Checks, gotchas & red flags

- **An alert is not a conclusion** — it's a question. Investigate against KYC profile before disposing.
- **Profile deviation is the strongest single signal** — always compare activity to declared turnover/expected behaviour.
- **Electronic ≠ clean** — pass-through/mule laundering is all transfers; don't dismiss just because there's no cash.
- **Never auto-close a high-score alert** without documented rationale; equally, don't escalate everything (alert fatigue hides real ones).
- **Tuning is governed** — thresholds change only via ATL/BTL testing with sign-off; silently loosening a rule to cut volume can create **false negatives** (missed laundering) and is an audit finding.
- **Look at the network**, not just the account — mule rings are invisible one account at a time.
- **STR timeline (7 working days)** starts when suspicion is *established*, not when the alert first fires — but don't sit on it.
- **Don't tip off** the customer while investigating or after filing.

Interview drill

Q1: Why do rules-based TM systems generate so many false positives, and how do you reduce them?

Rules are deliberately broad to avoid missing genuine cases, so they flag lots of legitimate activity — typically 90%+ of alerts are false positives. You reduce them by segmenting customers and tuning thresholds per segment via Above/Below-the-Line testing, by layering ML risk-scoring to rank alerts, and by adding

network/entity context so an alert is judged against relationships, not in isolation — which is exactly what tools like Quantexa target.

Q2: Walk me through triaging a "rapid movement of funds" alert. I compare the activity to the customer's KYC profile and expected turnover, examine the counterparties (are inbound credits from known trade parties or unrelated individuals?), check the account's history for deviation, and look at whether funds were swept out almost immediately to a new payee. Then I pull the network to see if counterparties link to other flagged accounts. If there's no commercial rationale and the pattern fits mule/pass-through, I escalate to a case and, if suspicion holds, file an STR — without tipping off.

Q3: What's the risk of tightening thresholds to cut alert volume? False negatives — genuine laundering slipping through undetected, which is a regulatory and reputational failure far worse than false-positive cost. That's why threshold changes go through governed Below-the-Line testing to prove you're not suppressing true alerts, with documentation and sign-off, rather than being tuned informally to make queues smaller.

Learn/practise (free)

- **NICE Actimize, SAS, Oracle FCCM, Quantexa, Napier** all publish free product docs, scenario catalogues and webinars — read a scenario library to learn real rule logic.
- Build a **toy TM engine in Python/SQL**: generate synthetic transactions, code structuring, pass-through and velocity rules with thresholds, and count your own false-positive rate — invaluable intuition.
- **NetworkX** (Python) to build a counterparty graph and visualise a mule ring — mimics entity/network analytics for free.
- **FATF** and **Egmont Group** typology reports — the authoritative source for real laundering patterns to encode.
- **Wolfsberg Group** statement on effective monitoring, and ACAMS/IIBF TM modules for the investigator workflow and STR-writing practice.

Investigations, SAR/STR & Case Management

What you'll be able to do

Take a system-generated AML alert (or a law-enforcement/internal referral), work it end-to-end into a documented investigation, decide whether it is a false positive or a genuine suspicion, and — if suspicious — **draft and file a Suspicious Transaction Report (STR) to FIU-IND** using the FINnet 2.0 portal with a defensible narrative. You'll manage the case inside a case-management system (CMS) with the right evidence, disposition codes, and SLAs, and you'll recognise the three typologies interviewers always test: **structuring, layering, and trade-based money laundering (TBML)**.

The essentials

An **alert** is a machine hit (rule or model). It is *not* suspicion — it is a prompt to look. Investigation is the human process that converts alerts and referrals into a **reasoned disposition**: *close (no further action)*, *escalate/keep monitoring*, or *file an STR*.

India-specific mechanics you must know:

Item	India (PMLA / FIU-IND)
Regulator/intelligence unit	FIU-IND (Financial Intelligence Unit – India), under Dept. of Revenue
Governing law	Prevention of Money Laundering Act, 2002 (PMLA) + PML (Maintenance of Records) Rules, 2005
Report type for suspicion	STR (Suspicious Transaction Report) — the Indian equivalent of a SAR
Other prescribed reports	CTR (cash > ₹10 lakh/month aggregated), CCR (counterfeit currency), NTR (non-profit), CBWTR (cross-border wire ≥ ₹5 lakh)
Filing timeline	STR within 7 working days of a Principal Officer forming suspicion
Portal	FINnet 2.0 (replaced FINGate); XML/structured upload
"No threshold" rule	STR has no minimum amount — an attempted transaction that never completes is still reportable
Tipping-off	Prohibited — you must not tell the customer an STR was filed
Record retention	5 years from transaction / end of relationship

"SAR" is the US/UK term (filed to FinCEN / the NCA). The user's roles are India-first, so the deliverable is an **STR**, but interviewers use "SAR" and "STR" interchangeably — know both.

The three exam-critical typologies:

- **Structuring (smurfing)**: breaking one large transaction into many small ones to dodge a reporting threshold — e.g. nine cash deposits of ₹95,000 to stay under the ₹10 lakh CTR aggregate and the ₹50,000 PAN/ID trigger.
- **Layering**: the middle stage of laundering — moving placed funds through many accounts, entities, jurisdictions and instruments to break the audit trail.

- **Trade-based ML (TBML):** moving value through trade by **mis-invoicing** — over/under-invoicing, over/under-shipment, multiple invoicing of the same goods, or phantom shipments.

Hands-on — step by step

Worked example. Alert fires on *Ravi Textiles Pvt Ltd*, a current account at a Mumbai branch. Rule: "structuring — multiple sub-threshold cash deposits." Period under review: 1–30 Jun 2026.

Step 1 — Triage and scope. Read the alert. Note the rule logic, the trigger amount, the account, and the look-back window. Set your review period a little wider than the alert (say 90 days) to see pattern vs. one-off.

Step 2 — Pull the evidence. Assemble in the CMS: - KYC/CDD file: incorporation docs, PAN, GST registration, declared business (readymade garments), declared turnover (~₹3 cr/yr), expected cash intensity. - Transaction dump for Mar–Jun 2026. - Prior alerts/STRs on this customer or connected parties. - Adverse-media / sanctions / PEP screening refresh.

Step 3 — Analyse the transactions. In the dump you find, in June alone:

Date	Type	Amount (₹)
03 Jun	Cash deposit	49,000
05 Jun	Cash deposit	48,500
09 Jun	Cash deposit	49,500
14 Jun	Cash deposit	48,000
19 Jun	Cash deposit	49,000
24 Jun	Cash deposit	48,500
26 Jun	Outward RTGS to <i>Gemstar FZE, Dubai</i>	2,80,000

Six cash deposits totalling **₹2,92,500**, each just under the ₹50,000 ID/PAN trigger, followed by a near-full sweep out to a UAE entity. Two red flags stacked: **structuring** on the way in, and a **cross-border wire to a free-zone entity** with no trade documents on file — a classic **layering + potential TBML** hop.

Step 4 — Compare to expected behaviour. A garment wholesaler *would* see cash, but you'd expect it deposited in normal lots and paired with supplier payments inside India, GST-matched sales, and inventory. Here the cash is engineered under thresholds and immediately exported to a related-looking overseas party with **no invoice, no bill of lading, no LC**. Behaviour is inconsistent with the declared profile.

Step 5 — Resolve open questions (RFI). Raise a documented Request-For-Information to the relationship manager: source of cash, purpose of the Dubai remittance, supporting trade docs. Suppose the RM returns vague answers and no documents. That *strengthens* suspicion.

Step 6 — Decide. Reasonable grounds to suspect that funds may represent proceeds of crime / value being moved abroad. Disposition = **File STR**. (Had the RM produced genuine invoices and the deposits matched daily till takings, disposition would be **false positive — close with rationale**.)

Step 7 — Draft the narrative. Use the **5W + 1H** discipline and the **who/what/when/where/why-suspicious/what-next** skeleton (see output).

Step 8 — File on FINnet 2.0. Principal Officer reviews, approves, and uploads the STR in the prescribed XML schema through the FINnet 2.0 portal within **7 working days** of forming suspicion. Log the acknowledgement number in the CMS.

Step 9 — Close the case. Record disposition, attach the filed STR and ack, apply post-filing action (enhanced monitoring / exit review), and set a review tickler. **Do not tip off the customer.**

The output

STR narrative (the finished artefact):

Subject: Ravi Textiles Pvt Ltd — Current A/c 0091xxxx1234, Mumbai (Andheri) branch. Director: Mr R. K. Sharma (PAN ABCDE1234F).

Reason for report / typology: Structuring of cash deposits followed by an unsupported cross-border remittance — suspected layering / trade-based money laundering.

Activity (What/When/Where): Between 03 Jun and 24 Jun 2026, six cash deposits of ₹48,000–₹49,500 (aggregate ₹2,92,500) were made into the account, each individually below the ₹50,000 identity-capture threshold. On 26 Jun 2026, ₹2,80,000 (95.7% of deposits) was remitted by RTGS/SWIFT to Gemstar FZE, a UAE free-zone entity, with **no invoice, shipping or LC documentation** on file.

Why suspicious: The deposit pattern is consistent with deliberate structuring to avoid ID/reporting thresholds. The value is not consumed in the declared domestic garment trade but swept overseas to an entity for which no trade nexus is evidenced. On RFI, the customer provided no source-of-funds or purpose documentation. The behaviour is inconsistent with the KYC-declared profile (domestic wholesale, ~₹3 cr turnover).

Amount involved: ₹2,92,500 in / ₹2,80,000 out. **Period:** 03–26 Jun 2026.

Action taken: STR filed to FIU-IND via FINnet 2.0 (Ack. FINnetXXXXXXXX). Account placed under enhanced monitoring; exit review initiated. No disclosure made to the customer.

Checks, gotchas & red flags

- **Alert ≠ suspicion.** Never file "just because it alerted," and never close without a written rationale — your disposition must survive a regulator's file review.
- **STR has no threshold** and covers **attempted** transactions. A remittance the bank *declined* is still reportable.
- **7 working days** runs from when the Principal Officer forms suspicion, not from the transaction date — don't let cases age in the queue.
- **Tipping-off is an offence.** Keep STR existence out of any customer-facing note or RFI wording.
- **Narrative must stand alone** — a reader with no access to your screens must understand who, what, how much, and why suspicious. Vague ("transactions looked odd") gets rejected in QA.
- **Tie-outs:** amounts in the narrative must equal the transaction schedule; the subject's ID must match KYC; the typology label must match the facts.
- Watch **round-tripping** and **connected parties** — investigate the counterparty, not just your customer.

Interview drill

Q1. Walk me from alert to STR. "Triage and scope the alert; pull KYC and a wider transaction history; analyse behaviour against the customer's expected profile; raise an RFI to close gaps; reach a documented disposition. If suspicion is reasonable, I draft a stand-alone 5W narrative, the Principal Officer approves, and we file to FIU-IND on FINnet 2.0 within 7 working days — no tipping-off, then enhanced monitoring."

Q2. Difference between structuring and layering? "Structuring is *placement-stage* — deliberately breaking transactions below reporting/ID thresholds. Layering is the *next stage* — moving already-placed funds through multiple accounts, entities and jurisdictions to obscure the trail. My worked case had both: sub-₹50,000 cash deposits (structuring) swept to a UAE entity with no trade docs (layering, possibly TBML)."

Q3. What makes a good SAR/STR narrative? "It answers who, what, when, where, how much, and *why it's suspicious*, plus action taken — and it reads coherently without any attachments. Facts and figures tie to the transaction schedule, the typology is named, and speculation is avoided. Regulators judge the file on the narrative."

Learn/practise (free)

- **FIU-IND website** — read the PMLA, PML Rules, and the STR/CTR reporting-format guides; the FINnet 2.0 user manuals are public.
- **FATF typologies reports** and **Egmont Group** case studies — free, and the source of most interview scenarios.
- **Wolfsberg Group** FAQs and the **ACAMS** free resource library / webinars for narrative-writing templates.
- **Practise without a live CMS:** take any anonymised bank-statement CSV, invent a red-flag pattern in Excel, and write the full STR narrative to the skeleton above. Rehearse the 7-day-clock and no-tipping-off rules until they're reflexive.

Financial-Crime Interview Drills + ACAMS & Cheat-Sheet

What you'll be able to do

Walk into an AML/financial-crime interview (analyst, GCC KYC/transaction-monitoring, compliance, treasury-facing) and answer the questions that actually get asked — CDD vs EDD, red-flag case reasoning, why an alert is a false positive, the SAR/STR lifecycle — with crisp, structured answers. You'll also know the **ACAMS/CAMS** certification pathway and its India relevance, and you'll have a one-page cheat-sheet of terms, lists, tools and the SAR process to revise the night before.

The essentials — the ACAMS/CAMS pathway

ACAMS (Association of Certified Anti-Money Laundering Specialists) runs **CAMS** — the most widely-requested AML credential in GCC and Indian bank job posts.

Item	Detail (mid-2026)
Flagship cert	CAMS (Certified Anti-Money Laundering Specialist)
Eligibility	Points system: education + AML/related work experience (~40 qualifying credits)
Exam	~120 multiple-choice, 3.5 hrs, computer-based (Pearson VUE) or online-proctored
Cost	~USD 1,000–1,700 (member vs non-member bundle); ACAMS membership ~USD 300/yr
Renewal	Recertify every 3 years via CAMS credits (CPE)
Other ACAMS certs	CGSS (sanctions), CKYCA (KYC), CTMA (transaction monitoring), CCAS (crypto)
India-relevant alternatives	IIBF AML/KYC certificate (cheap, bank-recognised), NISM, ICA (UK) diplomas

Positioning tip for the user: with MBA-Finance + NISM RA + trading-desk experience, **CKYCA** or **CTMA** are faster, cheaper wins that map directly to GCC KYC/monitoring roles; **CAMS** is the resume centrepiece to target once you have AML work credits. Mention IIBF as the low-cost India-domestic signal.

Hands-on — interview drills with model answers

Drill 1 — "Explain CDD vs EDD."

"CDD — Customer Due Diligence — is the baseline every customer gets: verify identity with reliable documents, identify the beneficial owner, understand the nature and purpose of the relationship, and monitor ongoing. **EDD — Enhanced Due Diligence — is CDD-plus for higher-risk customers:** PEPs, high-risk jurisdictions, correspondent banking, complex ownership, or cash-intensive businesses. EDD adds source-of-funds and source-of-wealth verification, senior-management sign-off, and more frequent review. The opposite end is **SDD (simplified)** for low-risk, e.g. a salaried resident with a small savings account. It's a **risk-based approach** — you spend diligence where the risk is."

Drill 2 — "Give me a red-flag case and how you'd handle it."

"A garment wholesaler makes six cash deposits of ~₹49,000 each in a month — all just under the ₹50,000 ID trigger — then sweeps 95% out to a UAE free-zone entity with no invoice or shipping docs. Red flags: **structuring** on the way in, an **unsupported cross-border wire**, and behaviour inconsistent with the declared profile — signs of layering, possibly trade-based ML. I'd pull KYC and 90 days of history, compare to expected activity, raise an RFI for source-of-funds and trade docs, and if unresolved, escalate to the Principal Officer to file an STR to FIU-IND within 7 working days — no tipping-off, then enhanced monitoring."

Drill 3 — "Why might an alert be a false positive?"

"Because rule-based monitoring is deliberately over-sensitive — it flags patterns, not intent. A large round-number transfer might be a genuine property purchase; repeated same-amount payments might be a legitimate EMI or salary; a 'new counterparty' alert might just be a customer paying a new but legitimate vendor. It's a false positive when, after review, the activity is **consistent with the customer's KYC profile and supported by documentation** — a salaried customer's ₹5 lakh transfer matched to a home-loan disbursement, say. I'd still document the rationale and close it; and if I see the same benign pattern flooding the queue, I'd recommend **tuning the rule threshold** so analysts spend time on real risk. Typical AML false-positive rates run 90%+, which is exactly why disposition quality and tuning matter."

Drill 4 — "What's the difference between an STR and a CTR?"

"A **CTR** is threshold-driven and objective — in India, cash transactions aggregating over ₹10 lakh in a month get reported automatically, no suspicion needed. An **STR** is suspicion-driven — any amount, including attempted transactions, when there are reasonable grounds to suspect proceeds of crime. CTR is a filter; STR is a judgement."

Drill 5 — "Walk me through the three stages of money laundering."

"**Placement** — getting dirty cash into the system (structured deposits, casinos, cash-heavy fronts). **Layering** — moving it through many accounts, entities and jurisdictions to break the trail. **Integration** — bringing it back as apparently clean wealth (property, luxury goods, business investment). Detection is easiest at placement, hardest at integration."

The output — one-page cheat-sheet

Acronyms - AML / CFT — Anti-Money Laundering / Countering Financing of Terrorism - KYC / CDD / EDD / SDD — Know Your Customer / Customer, Enhanced, Simplified Due Diligence - UBO — Ultimate Beneficial Owner (usually ≥10% or ≥25% ownership/control) - PEP — Politically Exposed Person - STR / SAR — Suspicious Transaction / Activity Report - CTR / CCR / NTR / CBWTR — Cash / Counterfeit-currency / Non-profit / Cross-Border-Wire Transaction Report - TBML — Trade-Based Money Laundering - RBA — Risk-Based Approach

Key India facts - Law: **PMLA 2002** + PML (Maintenance of Records) Rules 2005 - Intelligence unit: **FIU-IND**; portal: **FINnet 2.0**; regulator (banks): **RBI Master Direction on KYC** - STR: **any amount, file within 7 working days** of forming suspicion - CTR: cash > **₹10 lakh/month** aggregated; ID/PAN trigger commonly at **₹50,000** - Record retention: **5 years**; **tipping-off prohibited**

Global bodies & lists - **FATF** — 40 Recommendations, grey/black lists; **Egmont Group** — FIU network - **Wolfsberg Group** — industry standards; **OFAC** (US), **UN, EU, UK HMT/OFSI, MHA/UAPA** (India) — sanctions lists

The three typologies: Structuring · Layering · TBML (mis-invoicing / over-under shipment / phantom shipment)

SAR/STR process (memorise): 1. Alert / referral → **triage & scope** 2. Gather **KYC + transaction history + screening** 3. **Analyse** vs expected profile → raise **RFI** 4. **Disposition:** close (false positive, with rationale) OR escalate 5. If suspicious → draft **5W narrative** → Principal Officer approval 6. **File to FIU-IND on FINnet 2.0** (≤7 working days) 7. **No tipping-off** → enhanced monitoring / exit → record & retain 5 yrs

Tools you may be asked about: Actimize (NICE), SAS AML, Oracle Mantas/FCCM, Verafin, Napier, ComplyAdvantage, Refinitiv World-Check / LSEG, Dow Jones RiskCenter (screening); ServiceNow / bespoke CMS for case management.

Checks, gotchas & red flags

- Don't confuse **STR (suspicion, any amount)** with **CTR (threshold, automatic)** — the single most common slip.
- **EDD is not "more documents for everyone"** — it's triggered by risk; say "risk-based approach" and you signal maturity.
- Naming **tipping-off** and the **7-working-day** clock unprompted marks you as India-fluent.
- For false positives, always add the **tuning** point — interviewers want to hear you improve the system, not just clear the queue.
- Don't overclaim CAMS if you haven't sat it — say "targeting CAMS; CKYCA/IIBF in progress."

Interview drill

Q1. Which AML cert should someone with your background pursue and why? "CAMS is the market standard for GCC and Indian bank compliance roles, but it needs qualifying AML credits. Given my finance and monitoring exposure, I'd start with ACAMS **CKYCA/CTMA** or the low-cost **IIBF KYC/AML** certificate for immediate India signal, then target **CAMS** as I accumulate AML work experience for recertifiable, globally-recognised weight."

Q2. A PEP wants to open an account — what happens? "PEPs are inherently higher-risk, so **mandatory EDD**: verify identity and beneficial ownership, establish **source of funds and source of wealth**, screen against sanctions and adverse media, obtain **senior-management approval** to onboard, and set enhanced ongoing monitoring with more frequent review. Being a PEP isn't a reason to refuse — it's a reason to look harder."

Q3. How would you reduce a flood of false positives without missing real risk? "Measure it first — bucket alerts by rule and disposition. Where a rule generates high volume and near-zero true positives, **tune the threshold or add segmentation** (e.g. different limits for cash-intensive vs salaried customers), pilot the

change on historical data to confirm no known STRs would have been missed, document it, and get model-governance sign-off. The goal is fewer alerts, same detection."

Learn/practise (free)

- **ACAMS free resources** — Today's AML news, webinars, sample CAMS questions; the **CAMS study guide** table of contents shows the exam scope even before you buy.
- **FATF** 40 Recommendations and typologies reports; **Wolfsberg** FAQs — free and authoritative.
- **FIU-IND** and **RBI KYC Master Direction** — read the actual Indian rules once, end to end.
- **IIBF** AML/KYC exam syllabus — cheap, India-recognised, good structured revision.
- **Rehearse out loud:** record yourself answering each drill above in under 90 seconds, structured (definition → example → what you'd do). Build a personal deck of 10 red-flag scenarios and practise reaching a disposition and narrative for each.